

Small business management

Past paper 2022

Short questions

Question 01

Small and Medium sized firms

Done in 2023.

Question 02

Forms of Business Ownership:

Sole Proprietorship:

- A sole proprietorship is the simplest form of business ownership.
- It is owned and operated by a single individual.
- The owner has complete control over the business and is personally liable for its debts and obligations.
- Taxation is done on the owner's personal income tax return.

Example: A freelance writer working independently].

Partnership:

- A partnership is a business owned by two or more individuals.
- Partners contribute capital, share profits, and have joint decision-making authority.
- There are two types of partnerships: general partnerships and limited partnerships.
- In a general partnership, all partners have unlimited liability for the business's debts.
- In a limited partnership, there are general partners (with unlimited liability) and limited partners (with limited liability).
- Partnerships file an informational tax return, but the profits and losses are passed through to the partners' personal tax returns.

Example: A law firm with multiple partners.

Corporation:

- A corporation is a legal entity separate from its owners (shareholders).
- It is owned by shareholders who elect a board of directors to manage the company.
- Shareholders have limited liability, meaning their personal assets are protected from the company's debts.
- Corporations have more complex legal and reporting requirements.
- They file their own tax return and may be subject to double taxation (taxes on corporate profits and dividends).

Example: Large publicly traded companies like Apple or Microsoft

S Corporation:

- An S corporation is a special type of corporation that avoids double taxation.
- It allows the company's profits and losses to be passed through to the shareholders' personal tax returns.
- S corporations have restrictions on the number and type of shareholders.

Example: A small family-owned business that wants the benefits of a corporation without double taxation.

Limited Liability Company (LLC):

- An LLC is a hybrid business structure that combines the benefits of a corporation and a partnership.
- It provides limited liability protection to its owners (called members).
- LLCs have flexibility in management and taxation.
- They can choose to be taxed as a partnership, corporation, or sole proprietorship.

Example: A small business with multiple owners that wants liability protection and tax flexibility.

Question 03

Odd pricing and bundling pricing

Odd pricing strategy

Odd pricing is a pricing technique that involves setting prices in odd numbers such as \$0.99 or \$1.97 instead of round numbers like \$1 or \$2. The goal of odd pricing is to make the product seem more appealing, as consumers tend to view odd prices as being cheaper or better value than even prices. This psychological effect is known as the left-digit effect.

It is also called psychological pricing.

Example

For example, a product priced at \$199 might seem expensive compared to another product priced at \$200, but when the price is lowered to \$197, consumers might perceive it as a better deal. In this way, businesses can increase sales, create a more attractive pricing perception, and differentiate their products from those of their competitors.

Bundling pricing

Done

Question 04

Types of feasibility analysis?

Feasibility analysis :

Feasibility analysis examines the viability or sustainability of an idea, project, or business. The study examines whether there are enough resources to implement it, and the concept has the potential to generate reasonable profits. In addition, it will demonstrate the benefits received in return for taking the risk of investing in the idea

Types of feasibility analysis :

There are the following types of feasibility analysis

1. Technical Feasibility

- Technical Feasibility analyses and evaluates the project's current resources, including hardware and software along with the technical requirements of the proposed system.
- In simple words, a technical feasibility study gives a report on whether there exist required resources and new technologies which will be used for proposed software development.
- Additionally, a technical feasibility study examines the technical skills of the software development team, the viability of using current technology, the ease of maintaining and upgrading the technology of choice, and other factors.
- Technical feasibility aspects, particularly in software project development must be checked because they are critical to successful delivery.

Example :

For example, your company is planning to improve the current network infrastructure. You analyzed the new system and concluded that the new system can use the organization's existing network infrastructure. This shows that a new system is technically feasible.

2.Legal Feasibility

- Legal feasibility is an analysis performed to understand if the proposed plan conforms to the legal and ethical requirements. These requirements may involve zoning laws, data protection acts, or social media laws, etc.
- Legal feasibility is one of the most important types of feasibility studies in project management because, even if money is abundant, each country's laws must allow the legal implementation of the project.
- Certain types of jobs are permitted in certain areas.

Example :

For example, your company is planning to open a branch in a new region. According to the studies you recognize that the country does not allow an individual foreigner owning a property. Therefore you select the rental option instead of buying.

3.Economic feasibility

- Economic feasibility analysis is a crucial process in evaluating the financial viability and profitability of a proposed project or investment.
- It involves a comprehensive assessment of the costs and benefits associated with the project to determine if it is economically feasible.
- This analysis takes into account various factors such as initial investment costs, operating expenses, potential revenues, and the time required to recover the investment

Example :

For example, your company is planning to perform a housing project on the west coast of the city. In order to understand if the project is economically feasible, you will calculate the duration, cost, and income of the project. If the calculations demonstrate a short payback period, the board of directors will decide to undertake the project.

4.Operational feasibility :

- Operational feasibility is a measure of how well a proposed system solves the problems, and takes advantage of the opportunities identified during scope definition and how it satisfies the requirements identified in the requirements analysis phase of system development.
- Operational feasibility reviews the willingness of the organization to support the proposed system. This is probably the most difficult of the feasibilities to gauge. In order to determine this feasibility, it is important to understand the management commitment to the proposed project

Example :

For example, your company has undertaken a project to build a new theme park for a client. Then you performed a study to determine how the theme park will operate in a way that is conducive to its inhabitants, parking, dining, human flow, accessibility. This can be an example of operational feasibility.

5.Scheduling feasibility (time feasibility) :

Completing a project on time is very important from an investor's perspective. Scheduling feasibility is a measure of how reasonable the project duration is. If the project takes longer than estimated, investors will have to bear extra costs.

Example :

For example, an investor proposed a hotel construction project to your company. However, he requested that the project will be completed in one year. The project team conducted a feasibility study based on a list of requirements to complete the project on time.

Question 05**Business plan :**

A business plan is a strategic document that outlines a company's goals, strategies for achieving them, and the time frame for their achievement. It covers aspects like market analysis, financial projections, and organizational structure, serving as a roadmap for business growth and a tool to secure funding.

Often, financial institutions and investors need to see a business plan before funding any project. Even if you don't plan to seek outside funding, a well-crafted plan becomes the guidance for your business as it scales.

The Advantages of Having a Business Plan

Sets objectives and benchmarks: Proper planning helps a business set realistic objectives and assign stipulated time for those goals to be met. This results in long-term profitability. It also lets a company set benchmarks and Key Performance Indicators (KPIs) necessary to reach its goals.

Maximizes resource allocation: A good business plan helps to effectively organize and allocate the company's resources. It provides an understanding of the result of actions, such as, opening new offices, recruiting fresh staff, change in production, and so on. It also helps the business estimate the financial impact of such actions.

Enhances viability: A plan greatly contributes towards turning concepts into reality. Though business plans vary from company to company, the blueprints of successful companies often serve as an excellent guide for nascent-stage start-ups and new entrepreneurs. It also helps existing firms to market, advertise, and promote new products and services into the market.

Aids in decision making: Running a business involves a lot of decision making: where to pitch, where to locate, what to sell, what to charge — the list goes on. A well thought-out business plan provides an organization the ability to anticipate the curveballs that the future could throw at them. It allows them to come up with answers and solutions to these issues well in advance.

Fix past mistakes: When businesses create plans keeping in mind the flaws and failures of the past and what worked for them and what didn't, it can help them save time, money, and resources. Such plans that reflects the lessons learnt from the past offers businesses an opportunity to avoid future pitfalls.

Attracts investors: A business plan gives investors an in-depth idea about the objectives, structure, and validity of a firm. It helps to secure their confidence and encourages them to invest.

Question 06

Guerrilla marketing?

Done in 2022

Long Questions

Question 01

Done in 2023

Question 02

What are the major types of feasibility analysis and how it is important for business startup?

Types done

Importance of feasibility analysis :

1.Assessing Market Potential:

Feasibility analysis helps entrepreneurs evaluate the market demand for their product or service. By conducting a thorough market analysis, entrepreneurs can identify potential customers, understand their needs, and determine if there is a

sustainable market for their offering. This information is essential for making informed decisions about entering a particular market.

2.Risk assessment:

Feasibility analysis helps identify potential risks and challenges associated with starting and running a business . By understanding these risks, entrepreneurs can develop strategies to mitigate them and increase their chances of success.

3.Financial viability:

Feasibility analysis involves analyzing the financial feasibility of the business idea. It helps estimate the costs associated with starting and operating the business, as well as projecting the expected revenue. This analysis provides insights into the financial viability of the business idea and its potential profitability.

4.Resource assessment:

Feasibility analysis helps entrepreneurs assess the availability of necessary resources, such as technology, equipment, and infrastructure, required for the business operations . This assessment ensures that the business idea can be practically implemented.

5.Legal compliance:

Evaluating the legal feasibility is crucial for the success of any business idea. Feasibility analysis helps entrepreneurs assess the laws and regulations applicable to their business and determine whether they can meet the legal requirements. Compliance with legal obligations is essential to avoid legal issues and penalties.

6.Operational requirements:

Feasibility analysis helps entrepreneurs evaluate the operational requirements of the business. . It assesses factors such as labor availability, management expertise, and supply chain logistics. This evaluation ensures that the business idea can be effectively managed and implemented.

7.Informed decision-making:

Feasibility analysis empowers entrepreneurs to make informed decisions about pursuing their business ideas. By providing necessary data and insights, entrepreneurs can confidently invest their time and resources in viable ventures.

8.Roadmap creation:

A well-conducted feasibility analysis provides entrepreneurs with a clear roadmap for initiating and managing their businesses]. It helps identify key resources, such as capital, labor, technology, and infrastructure, required for the business. This roadmap increases the chances of success by ensuring a realistic plan.

9.Attracting investors and partners: A comprehensive feasibility analysis can attract investors and partners to the business. By presenting credible data that demonstrates the viability of the business idea, entrepreneurs can instill confidence in potential investors and partners, making them more likely to invest in the venture.

10.Time and cost savings:

Undertaking a feasibility analysis can save entrepreneurs valuable time and money in the long run]. By identifying potential problems and challenges early on, entrepreneurs can develop strategies to mitigate them. This proactive approach helps prevent costly mistakes and setbacks, leading to greater efficiency and cost-effectiveness.

11.Increases the Chances of Success.

Through a feasibility study, you can predict all the variables that may befall a project. Getting to know these factors before performing the project will help you strategize how to counter them. For PMs, studying the feasibility of your project increases the chances of leading it to completion.

12.Enhances the Focus of the Project Team Members.

Conducting a viability study gives the team members a clear picture of the suggested plan. When the team members are confident that a project is doable and the objectives are clear, they get motivated and work hard to attain the project goals.

13.Help Identify Internal & External Constraints of a Project.

There are a lot of difficulties involved during the consideration of the possibility of project success. Some of these difficulties are; shortage of resources, low-level

technology, under/over budgeting, illegal schemes, and lack of marketing strategies.

A feasibility analysis can help identifies such problems in advance. If the constraints of a project are explicit, it is not reasonable to implement an unprofitable plan.

Question 03

What is business plan? Importance of business plan for entrepreneurs.

Definition :done

Importance :

1.Securing Funding: A well-written business plan is crucial when seeking funding from investors or lenders. It demonstrates the likelihood of success and outlines the financial plan for the business]. Potential investors or lenders often require a business plan before providing financial support.

2.Making Informed Decisions: A business plan helps entrepreneurs define and focus on their business ideas and strategies. It allows them to consider financial matters, management issues, human resource planning, technology, and creating value for customers]. By having a clear plan, entrepreneurs can make informed decisions that align with their business goals.

3.Identifying Weaknesses: A business plan helps entrepreneurs identify potential pitfalls and weaknesses in their business idea. By sharing the plan with others, such as experts and professionals, entrepreneurs can receive valuable feedback and advice]. This allows them to address any weaknesses and improve their overall business strategy.

4.Communicating with Stakeholders: A business plan serves as a communication tool to secure investment capital, attract potential customers, convince people to work for the business, and obtain credit from suppliers. It provides a clear overview of the business's structure, goals, and strategies, which can be shared with stakeholders to gain their support and involvement.

5.Organizing Resources: A business plan helps entrepreneurs allocate and organize their resources effectively. It provides guidance on structuring the business, tracking operating costs, and hiring employees]. By having a plan in place, entrepreneurs can ensure that their resources are utilized efficiently and that the business is running profitably.

6.Predicting Problems: An effective business plan allows entrepreneurs to anticipate potential challenges and problems that may arise in the future. By identifying changing customer habits, market trends, or slow seasons, entrepreneurs can proactively prepare and address these challenges before they become more significant issues .

7.Increasing Chances of Success: While a business plan does not guarantee success, it significantly increases the chances of a business's success. It serves as a constant reminder of the business's mission and goals, helping entrepreneurs stay focused and motivated]. By having a clear plan in place, entrepreneurs can navigate their business journey with a higher probability of achieving their desired outcomes.

8.Reducing Risks: Entrepreneurship comes with inherent risks, but a well-designed business plan can help manage and minimize these risks. By conducting thorough market research, projecting expenses and revenues, and understanding the competitive landscape, entrepreneurs can make better-informed decisions and have a clearer view of their business's future. .

9.Setting Benchmarks and Goals: A business plan helps entrepreneurs set meaningful benchmarks and goals for their business. It ensures that goals are intentional, consequential, and aligned with the long-term strategy and vision of the business. . By regularly reviewing and updating the plan, entrepreneurs can track their progress and make necessary adjustments to achieve their desired outcomes.

10.Approaching Investors: A business plan is essential when approaching potential investors. It provides a comprehensive overview of the business's structure, market analysis, financial projections, and growth strategies. Investors rely on a well-prepared business plan to make informed decisions about supporting and funding a business.

